EQUITY RESEARCH · DEEP DIVE

Apollo Micro Systems Ltd Financial Analysis Report

FY2016 – FY2025 | PAT vs CFO Analysis | Working Capital Structure

Core Verdict: Profits Exist. Cash Does Not

Over 10 years, ₹221 Cr cumulative profit was reported — but cumulative operating cash flow was −₹83 Cr. This is a structural working capital trap, not a one-time issue.

CUMULATIVE REVENUE	CUMULATIVE PAT	CUMULATIVE CFO	PAT–CFO GAP	EQUITY DILUTION	DEBT ADDED
₹2,381	₹221 Cr	−₹83 Cr	₹304 Cr	₹1,100+ Cr	+₹264 Cr
Crore (FY16–FY25)	Net Profit (reported)	Cash from Operations	Profit never converted to cash	Raised since FY2018	FY16: ₹71 Cr → FY25: ₹335 Cr

Q·01 Year-wise PAT vs Cash from Operations

📌 Green bars = PAT. Red bars = CFO. Years where CFO dips deeply negative (FY2018, FY2019, FY2024) signal heavy WC build-up despite reported profits.

GAP PAT minus CFO Each Year

📌 Positive gap = cash trapped in working capital. FY2024 gap of ₹109.6 Cr is the worst year. FY2020 and FY2022 are the only years with negative gap (cash collected > profits).

DATA Full 10-Year Financial Snapshot

FY	REVENUE (₹ CR)	PAT (₹ CR)	CFO (₹ CR)	PAT–CFO GAP
FY2016	63.9	5.1	1.2	3.9
FY2017	87.6	17.6	2.4	15.2
FY2018	143.0	31.9	-38.0	69.9
FY2019	186.2	21.4	-61.6	83.0
FY2020	201.3	12.8	47.0	-34.2
FY2021	166.9	10.6	6.0	4.6
FY2022	301.3	14.9	43.0	-28.1
FY2023	297.4	18.8	-16.0	34.8
FY2024	371.7	31.1	-78.5	109.6
FY2025	562.0	56.4	11.3	45.1
Cumulative	₹2,381 Cr	₹221 Cr	−₹83 Cr	₹304 Cr

REV Revenue Growth

CFO CFO Trend

Q·02 What Causes the PAT–CFO Gap?

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Trade Receivables — Primary Driver

Defence customers test products extensively before releasing payment. Receivable days hit **274 days** in FY2021 — nearly 9 months after delivery. Even in FY2025, ₹27+ Cr remained unpaid for 3+ years.

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Inventory Build-up — Second Driver

Critical defence components require **1–2 year lead times**. AMS must maintain multi-quarter safety stocks per MoD norms. Inventory has grown faster than revenue — tying up increasing cash.

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Supplier Advances — Cash Upfront

Niche component vendors require advance payment to secure production slots. Cash leaves the company, **before inventory even arrives**, compounding the WC pressure.

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Compressed Payables — No Offset

AMS cannot stretch payables due to dependence on a small, specialised supplier base. Payable days remain just **40–70 days** — no structural buffer against long receivable cycles.

Q·03 Is This Temporary or Structural?

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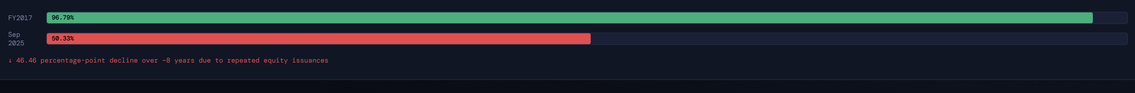
Verdict: STRUCTURAL — Not a Temporary Issue

Every driver is embedded in the business model and regulatory framework. No single management action can remove it.

FACTOR	WHY IT CANNOT BE FIXED EASILY
🏛 Government Buyer	GOI / DPSUs have statutory acceptance procedures that cannot be waived. Payment lags are legally embedded in the procurement process.
⏳ Component Sourcing	Niche defence-grade components have 1–2 year global lead times. AMS cannot source alternatives without compromising product qualification.
🎖 MoD Readiness Norms	Ministry of Defence mandates multi-quarter safety stocks for operational readiness. Inventory cannot be run lean.
🤝 Supplier Leverage	Specialised vendors demand advance payment. AMS has no bargaining power and cannot defer cash outflows upstream.
📈 Growth Paradox	Every ₹100 Cr of new revenue requires ~₹120–140 Cr of additional working capital investment — growth worsens the cash trap.

OWN Promoter Shareholding — Declining via Equity Dilution

As AMS cannot generate operating cash, it repeatedly raises equity, diluting promoter holding. This is a key red flag — dividend payments, if any, are funded by *debt or equity dilution*, not operations.



↓ 46.46 percentage-point decline over ~8 years due to repeated equity issuances

NOTE Cyclical Relief — Not a Structural Fix

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FY2020, FY2022, FY2025 — Positive CFO

In these years, previously stuck receivables were collected in bulk, temporarily showing positive operating cash flow. Revenue/PAT grew strongly.

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But — The Cycle Repeats

Each new order cycle re-builds the working capital hole. FY2024 immediately followed FY2022's recovery with a −₹78.5 Cr CFO. The structural trap reasserts itself.

Sources: Annual Reports (BSE/NSE filings) · screener.in · equitymaster.com · businesstoday.in · drvijaymalik.com
Analysis based on FY2016–FY2025 data. This report is for educational/analytical purposes only. Not investment advice.